Corporate Ethics and Sustainability
HSLU, Semester 5

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I Glossary

Accountability Duty to explain decisions and answer for their consequences.

BE Business ethics: the study of right and wrong in business conduct.

CE Corporate ethics: ethical principles guiding corporate decisions and behaviour.

Corporate governance Structures and rules through which a company is directed and controlled.

CSR Corporate Social Responsibility: meeting society's economic, legal, ethical, and philanthropic demands.

Dilemma Situation in which competing choices involve conflicting values or duties.

Ethical theory Framework of rules and principles used to assess what is right or wrong.

Ethics Study of morality and the principles underlying right and wrong.

Explicit CSR Social responsibility expressed through distinct corporate activities and programmes.

Externalities Effects of an activity on others that are not reflected in its market price.

GCG Good Corporate Governance: transparency, accountability, responsibility, professionalism, and fairness.

GDP Gross Domestic Product: the value of final goods and services produced within a country.

Globalization Growing connections that reduce the importance of territorial boundaries.

Government System of institutions that makes and enforces public decisions and laws for a society.

Homogenisation Process by which cultures, products, or practices become more similar to one another.

Implicit CSR Social responsibilities embedded in society's laws, institutions, and traditions.

Internationalization Expansion of activities across national borders while they remain anchored in particular countries.

MNC Multinational corporation: a company operating in more than one country.

Morality Norms, values, and beliefs defining right and wrong for individuals and communities.

NGO Non-governmental organization: an organization independent of government.

Philanthropy Voluntary contributions to social welfare, such as donations and community support.

Shareholder Person or organization that owns shares in a company.

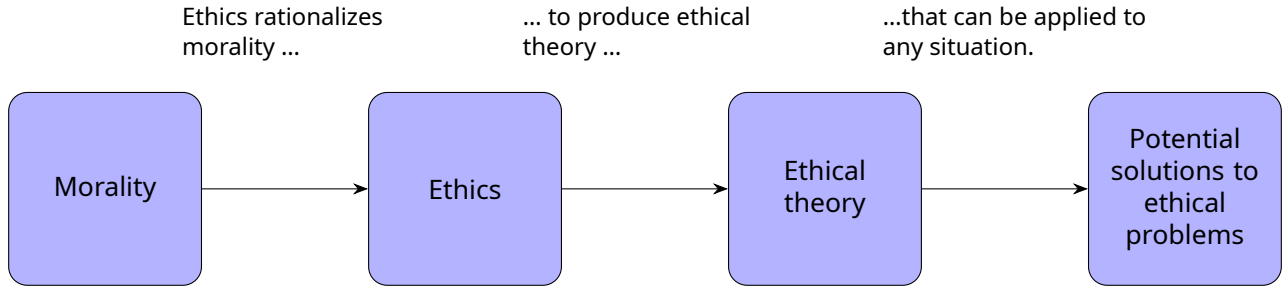
SME Small or medium-sized enterprise.

Stakeholder Group or individual who can affect or is affected by the achievement of an organization's objectives.

Westernization Spread or adoption of Western cultural practices, values, and institutions.

1 Introduction to Business ethics

1.1 Morality vs Ethics bs Ethical theory



1.1.1 Morality

Norms, values, and beliefs in social processes, which define right and wrong for individuals and communities.

1.1.2 Ethics

Study of morality that focuses on explaining rules and principles that determine right or wrong.

1.1.3 Ethical theory

Rules and principles are called ethical theories.

1.2 Why is business corporate ethics important

- Power/influence of business in society (eg. lobbies, multinationals, banks)
- Potential to provide major contribution to society → provide employment, tax payments, solve social problems (eg. health)
- Malpractice can inflict enormous harm to society or environment (eg. accidents)
- Increasing demand from skateholders/society to act ethically
- Lack of business ethics education or training
- Businesses face trust decifit
- Growth of business ethics 'industry' (consultants, ethical products/services)

1.3 Large vs small companies

- SMEs differ in their approach to business ethics:
  → Lack of time and resources
  → Less responsabilites to skateholders
- Large companies have much more formalized approach to manage BE

Stakeholders	**Large corporations**	**Small businesses**	**Civil society organizations**	**Public sector organizations**
Responsible and/or accountable to	Shareholders and other stakeholders	Owners	Donors and clients	General public, higher level government organizations
Main constraints	Shareholder orientation; size and complexity	Lack of resources and attention	Lack of resources and formal training	Inertia, lack of transparency

1.4 Globalization

- Globalization is a process which diminishes the necessity of a common and shared territorial basis for social, economic, and political activities, processes, and relations (“deterritorialization”)
- Globalization makes real-time social, political, economic, and cultural exchanges possible between people and organizations without the need for physical contact

Globalization was supported by two main developments:

1. Technology (communication, transportation, digital financial streams)
2. Policy (national territorial borders have been eroded)

1.4.1 Effects

- European financial crisis $\rightarrow$ events, which have local roots, have effects on seemingly disconnected places
- Global climate change $\rightarrow$ Local causes leads to global problems and global solutions (eg. Kyoto Protocol)
- Acts of Terror $\rightarrow$ events, people or ideas from faraway places can have effects on people on unconnected locations/situations (eg. security checks in airports)

1.4.2 Ethics in the context of globalization

- Topics like fair trade, food prices, financialstability have set ethical spotlight on globalization process
- MNCs (Multi-National Corporations) are at the center of public’s criticism on globalization $\rightarrow$ accused to exploit workers, cause environmental destruction,abuse their economic power
- Globalization is the most demanding area for corporation to define and legitimate their “right and wrong” behavior

1.5 Concepts distinct from globalization

1.5.1 Internationalization

Internationalization is the expansion of activities across national borders while those activities remain anchored in particular countries.

1.5.2 Westernization

Westernization is the spread or adoption of Western cultural practices, values, and institutions.

1.5.3 Homogenisation

Homogenisation is the process by which cultures, products, or practices become more similar to one another.

1.6 Relevance of globalization for business ethics

1.6.1 Cultural issues

- Corporations increasingly engage in overseas markets
- Confronted with new, diverse or even contradictory ethical demands

1.6.2 Legal issues

- Linked to relationship between ethics and law
- Transactions lose connection to certain territorial entity
- Escape legal control of national governments
- Globalization increases demand for business ethics (beyond control of national governments)

1.6.3 Accountability issues

- Some MNCs are as economically powerful as entire countries
- How to control MNCs, which have higher revenues than GDPs of entire countries?
- Demand for corporate accountability

Stakeholders	Ethical impacts of globalization
Shareholders	Globalization provides potential for greater profitability, but also greater risks (e.g. financial instability).
Employees	Provides jobs but also raises the potential for exploitation of employees through poor working conditions.
Consumers	Global products provide social benefits to consumers across the globe, but may also meet protests about cultural imperialism and westernization. Globalization can bring cheaper prices to customers.
Suppliers & competitors	Suppliers in developing countries face regulation from MNCs through supply chain management. Small-scale indigenous competitors are exposed to global players.
Civil society (NGOs, etc.)	Globally active pressure groups emerge with the aim to "police" corporations where governments are weak.
...	...

1.6.4 International differences in approaches

	Europe	N. America	Asia
Who is responsible for ethical conduct in business?	Social control by the collective	The individual	Top management
Who is the key actor in business ethics?	Government, trade, unions, corporate associations	The corporation	Government, corporations
What are the key guidelines for ethical behaviour?	Negotiated legal framework of business	Corporate codes of ethics	Managerial discretion
What are the key issues in business ethics?	Social issues in organizing framework of business	Misconduct and immorality in single decisions situations	Accountability

2 Framing business ethics

2.1 Stock corporation

A corporation is defined in terms of legal status and the ownership of assets:

- Legally corporations are independents from those who manage, work, invest in them or receive products or services from them
- Corporation have perpetual succession

2.2 Corporation assets owners

- A corporation owns its own assets (eg. factories, equipment)
- Shareholders only own share, which entitles them from dividends and some decisions

2.3 Implications of corporation definition for determining responsibilities

- Corporations are regarded as "artificial persons" in the eyes of the law
  $\rightarrow$ have certain rights and (legal) responsibilities in society
- Corporations are "owned" by shareholders, but exists independently of them
  $\rightarrow$ shareholders are not responbile for debts or damages
- Managers and directors have responsibility to protect investment of shareholders

2.4 Can a corporation have social responsibility?

- Only human beings have a moral responsibility for their actions
- It is managers' responsibility to act solely in the interests of shareholders (profit oriented)
- Social issues and problems are the proper province of the state rather than corporate managers
  $\rightarrow$ corporations should not decide what is in society's best interest

2.4.1 "The social responsibility of business is to increase its profits"

- Corporations can decide/act independent of their members
  $\rightarrow$ Corporate internal decision structure based on predetermined goals
- All corporations have a set of beliefs and values (organizational culture)
  - $\rightarrow$ Influence on individual's ethical decision-making and behavior
  - $\rightarrow$ Corporations present and interact with stakeholders as if they were distinct persons
- Corporations have some level of moral responsibility that is more than the responsibility of the individuals constituing the corporation

2.5 Why do corporations have and take on social responsibilities?

2.5.1 Internal business reasons ("enlightened self-interest")

- Extra and/or satisfied customers/employees $\rightarrow$ enhances long-term revenues
- Cost reduction due to increased sustainability $\rightarrow$ saving energy, waste reduction, less inefficiencies
- Manage risks and uncertainty
  - $\rightarrow$ Committing to social actions/programmes may forestall legislation
  - $\rightarrow$ Prevent penalties
- Long-term investment which benefits corporation $\rightarrow$ Maintaining consent of local communities, employees, governments

2.5.2 Moral reasons

- Corporations cause social problems (externalities)
  → Moral responsibility to deal with them (eg. pollution, resource depletion, community problems)
- Corporations should use their power responsibly
- Corporations rely on the contribution of a wide set of stakeholders in society, not just shareholders
  → Have a duty to also take into account the interests of stakeholders

2.6 Corporate Social Responsibility (CSR)

CSR = Attempt by companies to meet economic, legal, ethical, and philanthropic demands of a given society at a particular point in time

2.6.1 Four-part model of CSR



The model does not address problem when different layers are in conflic.

2.6.2 International context

- CSR is particularly strong in US, where companies are responsible for CE
  → Explicit CSR = distinct activity of corporations
- Other countries operate in a more implicit CSR:
  - Social responsibilities embedded in legal/institution framework of society
  - Sometimes based on religious, customary, tribal traditions

Examples of regional differences within different CSR levels:

Economic (focus) responsibility	**Legal responsibility**
US: focus on shareholders. **France:** extensive responsibility for employees.	**EU:** state seen as key enforcer of rules. **Elsewhere:** government seen with more scepticism.
Ethical responsibility	**Philanthropic responsibility**
Wide range of local ethical values and preferences. Different opinions towards topics like nuclear power, genetic engineering, animal testing, and such.	**Europe:** donations are observed critically. **US, India, China:** tradition/expectation to share their wealth.

2.6.3 Strategies of CSR – Traditional vs. contemporary CSR

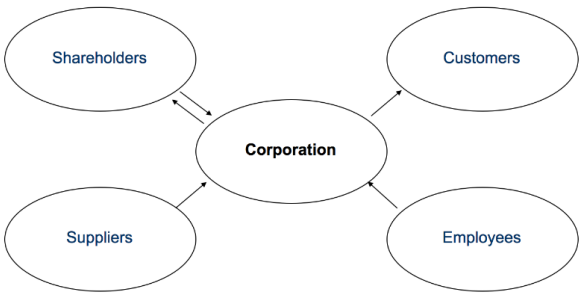
	Traditional CSR	Contemporary CSR
Focus	Risk	Reward
Driver	Image, brand, public acceptance	Performance, markets, products
Relation to bottom line	No direct contribution: CSR is value distribution	Integral goals: CSR is value contribution
Responsiveness	Reaction, defence	Pro-action
Motto	'CSR is bolt-on'	'CSR is built-in'

2.7 Stakeholder theory of the firm

- CSR approach focuses on types of responsibilities of corporations towards society and specific stakeholders
- A stakeholder of an organization is any group or individual who can affect or is affected by the achievement of the organization's objectives (Freeman)
- 'Affects' and 'affected by' can be explained by two principles
  - Principle of corporate rights → Corporation has obligation not to violate the rights of others
  - Principle of corporate effect → Companies responsible for the effects of their actions on others
- Stakeholders vary from company to company and for the same company in different situations

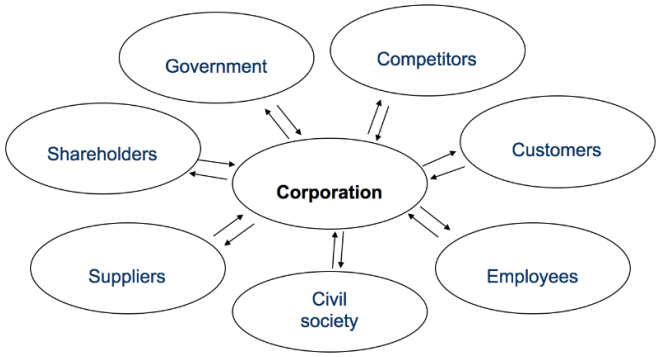
2.7.1 Traditional management model

Corporation is only related to four groups



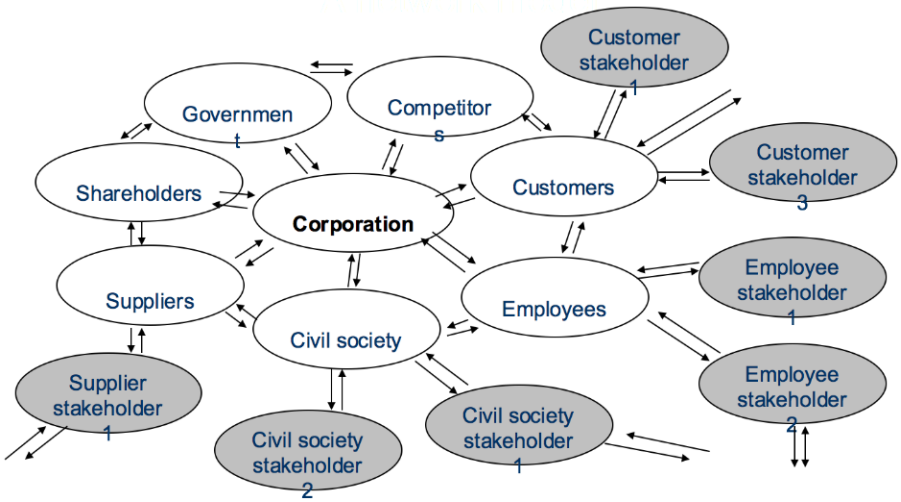
2.7.2 Model of stakeholders view

Corporation is situated in centre of interdependent two-ways relationships



2.7.3 Network model

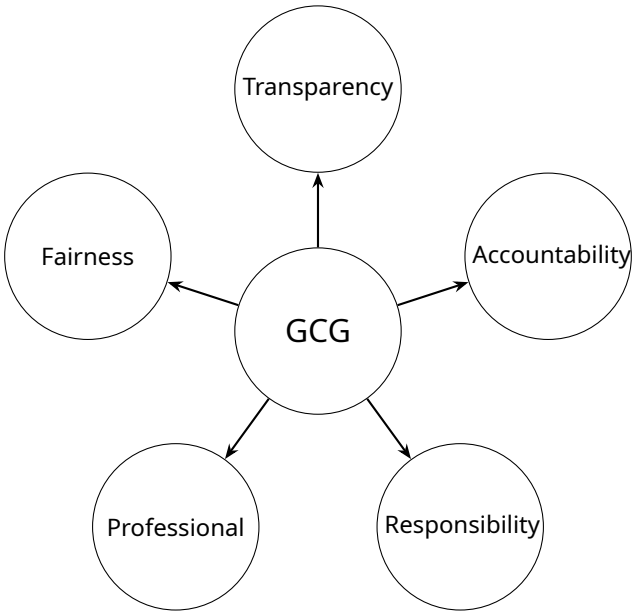
Considers also stakeholders' obligations to their own stakeholders



2.7.4 Role of management

Broader view of responsibility towards multiple stakeholders demands a new role for management

- Model of stakeholder democracy
  → Stakeholders influence and control corporate decisions – feasible?
- Model of corporate governance
  → Codifies and regulates various rights of stakeholder groups – which?



GCG = Good Corporate Governance

2.7.5 Stakeholder thinking in an international context

International examples of stakeholder integration

- German supervisory boards of corporations must include employee representatives
- "Scandinavian Cooperative Advantage"
  → Participative management strategies (consensus building, stakeholder involvement)
- Keiretsu system in Japan (Chaebol in Korea)
  → Network of banks, manufacturers, suppliers and service providers
  → Member companies own small portions of shares in each other's companies

2.7.6 Different forms of Stakeholder theory of the firm

Normative stakeholder theory
Attemps to provide a reason why corporations should take into account stakeholders interests

Descriptive stakeholder theory
Attemps to ascertain whether (and how) corporations actually do take into account stakeholders interests

Instrumental stakeholder theory
Attempts to answer whether it is beneficial for corporations to take into account stakeholders interets